

NEW EQUATION Siddaramaiah and (right) Shivakumar at an event in Bengaluru, Dec. 3

scheme was implemented on June 11, followed by Anna Bhagya and Gruha Jyothi in July. In August, Gruha Lakshmi was implemented, before Yuva Nidhi in December.

Q. Is that why the Congress won these three seats in the byelections?

A. That is one of the major reasons. Also, there is no law-and-order problem. Foreign direct investment is coming in. Employment opportunities are being created. The budget size of 2024-25 is Rs 3.71 lakh crore. This year, we have earmarked more than Rs 64,000 crore for development. In doing so, we have disproved the allegations made by the BJP

> **THERE IS NO SUCH AGREEMENT [TO SHARE THE REGIME WITH D.K. SHIVAKUMAR]. BUT WE WILL GO BY WHATEVER DECISION THE HIGH COMMAND MAKES**

people, including the prime minister, that if the guarantee schemes are implemented, there will be no money for developmental works.

Q. So, no project has been stopped because of the guarantees?

A. No project has been stopped. All the programmes we announced in the budget are being implemented.

Q. What would be your priorities for 2025?

A. The first priority is to take up Bengaluru city development. Also, we have to strengthen the poorer sections of society—economically and socially. Ultimately, our aim is to bring about a change in society because there is a disparity. In order to bridge the gap between the rich and the poor, we have to launch some programmes.

sive initiative, a resource crunch needs to be resolved first. Karnataka remains one of India's top-performing states. It generated Rs 1.03 lakh crore in revenue in the first seven months of FY25 across five major departments—commercial taxes (GST), excise, mining, property registration and transport—which amounts to a year-on-year growth rate of 11.2 per cent. During the first quarter of the current fiscal year, the state climbed up to the second place in FDI inflows with $2.2 billion (Rs 1.86 lakh crore) in investments, from the third spot in the previous fiscal.

However, with as much as Rs 1.20 lakh crore allocated for welfare programmes in the current budget, the government has had to increase its borrowings to bridge the gap. If the current growth trend in gross state domestic product (GSDP)—10.2 per cent in FY24—holds out, the dampening effect of the Rs 52,000 crore expenditure on the five guarantees would naturally ease out in a couple of years, explains an official. But the challenge is to find avenues for additional revenue immediately. As part of this exercise, the Karnataka cabinet on December 5 proposed a bill to tax mineral rights and mineral-bearing land while also approving a one-time settlement for collecting penalty from stone-crushing units—this would fetch an estimated Rs 10,819 crore, all put together. In addition, the government has also set up a committee to suggest ways for resource mobilisation. The CM says "no project or development work has been stopped" on account of the guarantees. "All the programmes we announced in the budget are being implemented," he told INDIA TODAY.

There's certainly a lot on Siddaramaiah's plate. But the reassertion of people's faith as seen in the bypolls means Opposition allegations will not break his stride. ■